Pricing Strategy - Absorption Cost Plus Strategy

Determining Selling Price using Absorption Cost Plus Strategy

		Unit cost (CAD$)	Assumptions
VC			
	DM	$80.00	4
	DL	$54.00	5 ($18/hr for making 3 Parkas)
	VMOH	$21.60	6
	V S/A	$8.00	7
	Total VC per unit	**$163.60**	
FC			
	FMOH	$30.00	8
	F S/A	$40.00	9
	Total FC per unit	**$70.00**	
Total Unit Cost		**$233.60**	
Markup		71.20%	10
ROI		$166.32	11
Selling Price		**$400.00**	12

Assumptions

1 **Abbreviations:**
VC = Variable Cost
FC = Fixed Cost
DM = Direct Material
DL = Direct Labor
VMOH= Variable Manufacturing overhead cost
FMOH = Fixed manufacturing overhead cost
V S/A = Variable Selling and Administrative Costs
F S/A = Fixed Selling and Administrative Costs
ROI = Return on Investment

2	**Pricing Strategy:** We have chosen **Absorption Cost Plus Pricing** for Wuxly. This strategy covers all production costs, including fixed and variable costs, while adding a premium markup. Given that Wuxly's German target market values premium, sustainable products, this pricing aligns with consumer expectations and ensures competitiveness and profitability. Absorption Cost Plus Pricing also covers overhead costs and profit margins effectively.
3	**Manufacturing Location:** Wuxly is manufacturing its products in Toronto, ON, Canada.
4	**Direct Material Cost:** The direct materials for producing a parka might include the cost of fabric, zippers, buttons, and insulation material. For instance, if a parka requires high-quality waterproof fabric, the cost could be $50.00 per fabric used for making a parka, zippers might cost $5.00, buttons $2.00, and insulation material $23.00, totaling $80.00.
5	**Direct Labour Rate:** Time taken to make a Parka: 3 hours. Minimum Wage in Toronto: $17. (HowStuffWorks, n.d.) Our DL rate per hour is $18. The direct labor cost of $54.00 per parka is calculated based on the assumption that it takes 3 hours to make 1 parka, with a labor rate of $18.00 per hour. Hence, the labor cost per parka is $18.00 per hour multiplied by 3 hours, resulting in $54.00 per parka.
6	**Variable Manufacturing Overhead (VMOH):** Variable manufacturing overhead could include costs such as electricity, indirect labor, utilities, maintenance, and indirect materials. If Indirect labor costs $5.00, Utilities costs $3.00, machine maintenance costs $7.00, and indirect materials costs $6.60 per parka, the total VMOH would be $21.60.
7	**Variable Selling and Administrative Expenses (V S/A):** Variable selling and administrative expenses might include shipping costs and sales commissions. If shipping costs $5.00 per unit and sales commissions are $3.00 per unit, the total V S/A is $8.00.
8	**Fixed Manufacturing Overhead (FMOH):** Fixed manufacturing overhead could include Supervisor salaries, Depreciation, and Insurance.
9	**Fixed Selling and Administrative Expenses (F S/A):** Fixed selling and administrative expenses could include the salaries of the sales and administrative staff and office rent. If the combined monthly salary of the sales team and administrative staff is $10,000 and office rent is $10,000, and the company produces 500 units monthly, the cost per unit would be $40.00.
10	**Markup Percentage:** We chose our markup as 71.20% because the average markup rate for the apparel industry ranges from 50%-80% depending on the brand positioning and market segment. (Ontario Newsroom, 2024) **Markup Percentage Calculation** = For a total cost of $233.60 per unit, the markup would be calculated as $233.60 * 0.712 = $166.32.
11	**ROI Calculation** = Total Unit Cost * Markup The ROI is calculated to ensure a target profit margin. For a selling price of $400.00 and a total cost of $233.60, the ROI per unit is $400.00 - $233.60 = $166.32.
12	**Selling Price** = Total Unit Cost + ROI